

# WHAT-IF SCENARIO ANALYSIS

Valencia Operations · Three-case · 2026-08-17

## CASES

| Driver  | Base   | Pessimistic | Realistic | Optimistic |
|---------|--------|-------------|-----------|------------|
| Revenue | 12.00% | 11.85%      | 12.00%    | 12.15%     |
| COGS    | 41.80% | 42.08%      | 41.80%    | 41.52%     |

How the cases were set: Each case is one historical standard deviation either side of the base, from the variation in the actuals: Revenue +/-0.15%, COGS +/-0.28%.. The realistic case is the base plan.

## PROFIT AND LOSS ACROSS CASES

| Line                    | Base    | Pessimistic | Realistic | Optimistic |
|-------------------------|---------|-------------|-----------|------------|
| Operating Profit (EBIT) | 542,191 | 512,037     | 542,191   | 572,408    |
| EBIT versus base        |         | -30,154     | +0        | +30,217    |

## ANALYSIS

### Key takeaways

- EBIT ranges from 512,037 in the pessimistic case to 572,408 in the optimistic case, against a base of 542,191.
- Downside -30,153, upside +30,217, a total spread of 60,371.
- The downside and upside are broadly symmetric.
- Drivers flexed together: Revenue, COGS.

The three-case scenario analysis produces an EBIT range of 512,037 in the downside to 572,408 in the upside, with the base plan sitting at 542,191. The realistic case is the base plan, so its EBIT figure is identical to the base at 542,191. The upside relative to base is 30,217, while the downside is 30,154, meaning the two tails are nearly symmetric around the base, with the upside marginally larger. For planning purposes, this symmetry suggests the business is not materially skewed toward either outperformance or underperformance under the historical variation observed, though even the downside represents a meaningful swing of roughly 30,000 in EBIT that teams should be prepared to manage.

Two drivers were flexed to construct the cases. Revenue growth was moved one historical standard deviation of 0.15 percentage points either side of the base, running from 11.85 percent in the pessimistic case to 12.15 percent in the optimistic case. COGS as a percent of revenue was moved one historical standard deviation of 0.28 percentage points either side of the base, from 42.08 percent in the pessimistic case to 41.52 percent in the optimistic case. In the downside, lower revenue growth and a higher COGS rate compress EBIT together, while in the upside both drivers move favourably at once. All other drivers are held constant across the three cases and do not move. This model also does not link marketing spend or customer volume to revenue, so those items have no effect on the scenario outcomes shown here.

